

M/s. PROGEN RENEWABLES LIMITED

87 A, First Floor, Sathy Road, Muniappan Koil Street, Ganapathy, Coimbatore - 641 006.

Notes Forming part of the Financial Statement for the year ended March 31, 2025.

28.5 LEASES: -

Assets acquired on Lease where a significant portion of the risks and rewards of ownership are retained by the lessor are classified as operating lease and the lease Rentals thereon are charged to statement of profit and loss.

28.6 INCOME TAXES: -

Tax expenses comprises Current tax and Deferred taxes.

a. Current tax: Current tax is the amount of tax payable on the taxable income for the year as determined in accordance with the provisions of the Income Tax Act, 1961. Current tax is net of credit for entitlement for Minimum Alternative Tax (MAT).

b. Minimum Alternate Tax (MAT): The company has shifted to new regime of taxation mentioned under section 115BAA. Under section 115 BAA tax rate is 22% plus surcharge and education cess. MAT Provisions are not applicable if tax is charged at rate mentioned in section 115BAA. No MAT Credit of earlier year has been carried forward to current year.

c. Deferred tax: Deferred tax is recognised, on timing differences, being the differences between the taxable income and the accounting income that originate in one period and are capable of reversal in one or more subsequent periods.

Deferred tax assets in respect of unabsorbed depreciation and carry forward of losses are recognised only if there is virtual certainty that there will be sufficient future taxable income available to realise such assets. Other deferred tax assets are recognised if there is a reasonable certainty that there will be sufficient future taxable income to realize such assets.

Deferred tax is measured using the tax rates and the tax laws enacted or substantially enacted as at the reporting date.

28.7 CASH AND CASH EQUIVALENTS: -

Cash comprises cash on hand and demand deposits with banks. Cash equivalents are short-term balances (with an original maturity of three months or less from the date of acquisition), highly liquid investments that are readily convertible into known amounts of cash and which are subject to insignificant risk of changes in value.

28.8 CASH FLOW STATEMENT: -

Cash flows are reported using the indirect method, whereby profit / (loss) before tax is adjusted for the effects of transactions of non-cash nature and any deferrals or accruals of past or future cash receipts or payments. The cash flows from operating, investing and financing activities of the Company are segregated based on the available information.